

1 _____ BILL NO. _____

2 INTRODUCED BY _____

3
4 A BILL FOR AN ACT ENTITLED: "AN ACT ELIMINATING THE PETROLEUM TANK RELEASE
5 COMPENSATION BOARD; CLARIFYING THE DEPARTMENT OF ENVIRONMENTAL QUALITY SHALL
6 ADMINISTER THE PETROLEUM TANK RELEASE PROGRAM; PROVIDING RULEMAKING AUTHORITY;
7 AMENDING SECTIONS 17-6-225, 75-11-302, 75-11-307, 75-11-308, 75-11-309, 75-11-312, 75-11-313, 75-11-
8 314, 75-11-315, 75-11-318, 75-11-320, 75-11-407, AND 75-11-408, MCA; AND REPEALING SECTION 2-15-
9 2108, MCA."

10

11 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

12

13 **Section 1.** Section 17-6-225, MCA, is amended to read:

14 **"17-6-225. Loans to ~~petroleum tank release compensation board~~ department of environmental**

15 **quality.** (1) The board of investments may loan funds to the ~~petroleum tank release compensation board~~
16 ~~department of environmental quality~~ to cover temporary cash shortfalls in the petroleum tank release cleanup
17 fund. The total of all loans may not exceed the greater of \$15 million or 80% of the fees that the office of budget
18 and program planning projects will be collected under 75-11-314 during the next 3 fiscal years. A loan must be
19 amortized, based on projected fee revenue, over a period of not more than 10 years.

20 (2) The board of investments shall establish the interest rate on the loan, considering the security
21 and the term of the loan."

22

23 **Section 2.** Section 75-11-302, MCA, is amended to read:

24 **"75-11-302. Definitions.** Except as provided in subsections (2), ~~(14)~~ (13), and ~~(25)~~ (24), the following
25 definitions apply to this part:

26 (1) "Accidental release" means a sudden or nonsudden release, neither expected nor intended by
27 the tank owner or operator, of petroleum or petroleum products from a storage tank that results in a need for
28 corrective action or compensation for third-party bodily injury or property damage.

(2) "Aviation gasoline" means aviation fuel as defined in 15-70-401. For the purposes of this chapter, aviation gasoline does not include JP-4 jet fuel sold to a federal defense fuel supply center.

~~(3) "Board" means the petroleum tank release compensation board established in 2-15-2108.~~

~~(4)~~(3) "Bodily injury" means physical injury, sickness, or disease sustained by an individual, including death that results from the physical injury, sickness, or disease at any time.

~~(5)~~(4) "Claim" means a written request prepared and submitted by an owner or operator or an agent of the owner or operator for reimbursement of expenses caused by an accidental release from a petroleum storage tank.

~~(6)~~(5) "Corrective action" means investigation, monitoring, cleanup, restoration, abatement, removal, and other actions necessary to respond to a release.

~~(7)~~(6) "Department" means the department of environmental quality provided for in 2-15-3501.

~~(8)~~(7) "Distributor" means a person who is licensed to sell gasoline or special fuel, as provided in 15-70-402, and who:

(a) in the state of Montana, engages in the business of producing, refining, manufacturing, or compounding gasoline, aviation gasoline, special fuel, or heating oil for sale, use, or distribution;

(b) imports gasoline, aviation gasoline, special fuel, or heating oil for sale, use, or distribution in this state;

(c) engages in wholesale distribution of gasoline, aviation gasoline, special fuel, or heating oil in this state;

(d) is an exporter;

(e) is a dealer licensed as of January 1, 1969, except a dealer at an established airport; or

(f) either blends gasoline with ethanol or blends heating oil with waste oil.

~~(9)~~(8) "Eligible costs" means expenses reimbursable under 75-11-307.

~~(10)~~(9) "Export" means to transport out of the state of Montana, by means other than in the fuel supply tank of a motor vehicle, gasoline, aviation gasoline, special fuel, or heating oil received from a refinery or pipeline terminal within the state of Montana.

~~(11)~~(10) "Exporter" means a person who transports, by means other than in the fuel supply tank of a motor vehicle, gasoline, aviation gasoline, special fuel, or heating oil received from a refinery or pipeline

terminal within the state of Montana to a destination outside the state of Montana for sale, use, or consumption beyond the boundaries of the state of Montana.

~~(42)~~(11)"Fee" means the petroleum storage tank cleanup fee provided for in 75-11-314.

~~(43)~~(12)"Fund" means the petroleum tank release cleanup fund established in 75-11-313.

~~(44)~~(13)"Gasoline" means gasoline as defined in 15-70-401. For the purposes of this chapter, gasoline does not include JP-4 jet fuel sold to a federal defense fuel supply center.

~~(45)~~(14)"Heating oil" means petroleum that is No. 1, No. 2, No. 4-light, No. 4-heavy, No. 5-light, No. 5-heavy, and No. 6 technical grades of fuel oil; other residual fuel oils, including navy special fuel oil and bunker C; and other fuels when used as substitutes for one of these fuel oils. Heating oil is typically used in the operation of heating equipment, boilers, or furnaces.

~~(46)~~(15)"Import" means to receive into a person's possession or custody first after its arrival and coming to rest at a destination within the state any gasoline, aviation gasoline, special fuel, or heating oil shipped or transported into this state from a point of origin outside this state, other than in the fuel supply tank of a motor vehicle.

~~(47)~~(16)"Operator" means a person in control of or having responsibility for the daily operation of a petroleum storage tank.

~~(48)~~(17)(a) "Owner" means:

(i) a person that holds title to, controls, or possesses an interest in a petroleum storage tank; or

(ii) a person that owns the property on which a petroleum storage tank from which a release occurred was located.

(b) The term does not include a person that holds an interest in a storage tank solely for financial security, unless through foreclosure or other related actions the holder of a security interest has taken possession of the tank.

~~(49)~~(18)"Person" means an individual, firm, trust, estate, partnership, company, association, joint-stock company, syndicate, consortium, commercial entity, corporation, or agency of state or local government.

~~(20)~~(19)"Petroleum" or "petroleum products" means crude oil or any fraction of crude oil that is liquid at standard conditions of temperature and pressure (60 degrees F and 14.7 pounds per square inch absolute) or motor fuel blend, such as ethanol-blended gasoline, and that is not augmented or compounded by more than a

1 de minimis amount of another substance.

2 ~~(21)(20)~~"Petroleum storage tank" means a tank that contains or contained petroleum or petroleum
3 products and that is:

4 (a) an underground storage tank as defined in 75-11-503;

5 (b) a storage tank that is situated in an underground area, such as a basement, cellar, mine, drift,
6 shaft, or tunnel;

7 (c) an aboveground storage tank with a capacity of less than 30,000 gallons; or

8 (d) aboveground or underground pipes associated with tanks under subsections ~~(21)(b)~~ ~~(20)(b)~~
9 and ~~(21)(c)~~ ~~(20)(c)~~, except that pipelines regulated under the following laws are excluded:

10 (i) the Natural Gas Pipeline Safety Act of 1968, 49 U.S.C. 1671, et seq.;

11 (ii) the Hazardous Liquid Pipeline Safety Act of 1979, 49 U.S.C. 2001, et seq.; and

12 (iii) state law comparable to the provisions of law referred to in subsections ~~(21)(d)(i)~~ ~~(20)(d)(i)~~ and
13 ~~(21)(d)(ii)~~ ~~(20)(d)(ii)~~, if the facility is intrastate.

14 ~~(22)(21)~~"Properly designed and installed double-walled tank system" means a petroleum storage tank
15 and associated product piping that is designed and constructed with rigid inner and outer walls separated by an
16 interstitial space and that is capable of being monitored for leakage. The design and construction of these tank
17 systems must meet any applicable standards of the department and the department of justice fire prevention
18 and investigation bureau. The material used in construction must be compatible with the liquid to be stored in
19 the system, and the system must be designed to prevent the release of any stored liquid.

20 ~~(23)(22)~~"Property damage" means:

21 (a) physical injury to tangible property, including loss of use of that property caused by the injury;

22 or

23 (b) loss of use of tangible property that is not physically injured.

24 ~~(24)(23)~~"Release" means any spilling, leaking, emitting, discharging, escaping, leaching, or disposing
25 of petroleum or petroleum products from a petroleum storage tank into ground water, surface water, surface
26 soils, or subsurface soils.

27 ~~(25)(24)~~"Special fuel" means those combustible liquids commonly referred to as diesel fuel or another
28 volatile liquid of less than 46 degrees A.P.I. (American petroleum institute) gravity test, except liquid petroleum

1 gas. For the purposes of this chapter, special fuel does not include diesel fuel sold to a railroad or a federal
2 defense fuel supply center."

3
4 **Section 3.** Section 75-11-307, MCA, is amended to read:

5 **"75-11-307. Reimbursement for expenses caused by release.** (1) Subject to the availability of
6 money from the fund under subsection (6), an owner or operator who is eligible under 75-11-308 and who
7 complies with 75-11-309 and any rules adopted to implement those sections must be reimbursed by the ~~board~~
8 department from the fund for the following eligible costs caused by a release from a petroleum storage tank:

9 (a) corrective action costs as required by a department-approved corrective action plan, except
10 that if the corrective action plan:

11 (i) addresses releases of substances other than petroleum products from an eligible petroleum
12 storage tank, the ~~board~~-department may reimburse only the costs that would have reasonably been incurred if
13 the only release at the site was the release of the petroleum or petroleum products from the eligible petroleum
14 storage tank;

15 (ii) includes the establishment of a petroleum mixing zone, as defined in 75-11-503, the ~~board~~
16 department may reimburse the cost of an easement established pursuant to 75-11-508; or

17 (iii) includes costs for the purpose of intentionally remediating the release from a petroleum storage
18 tank that exceed department standards; and

19 (b) compensation paid to third parties for bodily injury or property damage. The ~~board~~-department
20 may not reimburse for property damage until the corrective action is completed.

21 (2) An owner or operator may not be reimbursed from the fund for the following expenses:

22 (a) corrective action costs or the costs of bodily injury or property damage paid to third parties that
23 are determined by the ~~board~~-department to be ineligible for reimbursement;

24 (b) costs for bodily injury and property damage, other than corrective action costs, incurred by the
25 owner or operator;

26 (c) penalties or payments for damages incurred under actions by the department, ~~board~~, or
27 federal, state, local, or tribal agencies or other government entities involving judicial or administrative
28 enforcement activities and related negotiations;

1 (d) attorney fees and legal costs of the owner, the operator, or a third party;

2 (e) costs for the repair or replacement of a tank or piping or costs of other materials, equipment, or
3 labor related to the operation, repair, or replacement of a tank or piping;

4 (f) expenses incurred before April 13, 1989, for owners or operators seeking reimbursement from
5 the petroleum tank release cleanup fund and expenses incurred before May 15, 1991, for owners or operators
6 seeking reimbursement from the petroleum tank release cleanup fund for a tank storing heating oil for
7 consumptive use on the premises where it is stored or for a farm or residential tank with a capacity of 1,100
8 gallons or less that is used for storing motor fuel for noncommercial purposes;

9 (g) expenses exceeding the maximum reimbursements provided for in subsection (4);

10 (h) costs for which an owner or operator has received reimbursement or payment from an insurer
11 or other third party, including a grantor;

12 (i) expenses for work completed by or on behalf of the owner or operator more than 5 years prior
13 to the owner's or operator's request for reimbursement. This limitation does not apply to claims for
14 compensation paid to third parties for bodily injury or property damage. The running of the 5-year limitation
15 period is suspended by an appeal of the ~~board's~~ department's denial of eligibility for reimbursement. If a written
16 request for hearing is filed under 75-11-309, the suspension of the 5-year limitation period is effective from the
17 date of the ~~board's~~ department's initial eligibility denial to the date on which the initial eligibility denial is
18 overturned or reversed by the ~~board~~ department, a district court, or the state supreme court, whichever occurs
19 latest. The ~~board~~ department may grant reasonable extensions of this limitation period if it is shown that the
20 need for the extension is not due to the negligence of the owner or operator or agent of the owner or operator.

21 (j) costs that the ~~board~~ department has determined are not reasonable costs of responding to the
22 release and implementing the corrective action plan, as provided for in 75-11-309, including costs included in a
23 department-approved corrective action plan for the purpose of remediating the release in excess of department
24 standards.

25 (3) An owner or operator may designate a person, including a grantor, as an agent to receive the
26 reimbursement for eligible costs incurred by the person if the owner or operator remains legally responsible for
27 all costs and liabilities incurred as a result of the release.

28 (4) Subject to the availability of funds under subsection (6):

(a) for releases eligible for reimbursement from the fund that are discovered and reported on or after April 13, 1989, from a tank storing heating oil for consumptive use on the premises where it is stored or from a farm or residential tank with a capacity of 1,100 gallons or less that is used for storing motor fuel for noncommercial purposes, the ~~board~~ department shall reimburse an owner or operator for:

(i) 100% of the eligible costs, up to a maximum total reimbursement of \$500,000, for properly designed and installed double-walled tank system releases that were discovered and reported on or after October 1, 1993, and before October 1, 2009; or

(ii) 50% of the first \$10,000 of eligible costs and 100% of subsequent eligible costs, up to a maximum total reimbursement of \$495,000 for all other releases; and

(b) for all other releases eligible for reimbursement from the fund that are discovered and reported on or after April 13, 1989, the ~~board~~ department shall reimburse an owner or operator for:

(i) 100% of the eligible costs, up to a maximum total reimbursement of \$1 million, for properly designed and installed double-walled tank system releases that were discovered and reported on or after October 1, 1993, and before October 1, 2009; or

(ii) 50% of the first \$35,000 of eligible costs and 100% of subsequent eligible costs, up to a maximum total reimbursement of \$982,500 for all other releases.

(5) If an insurer or grantor pays or reimburses an owner or operator for costs that qualify as eligible costs under subsection (1), the costs paid or reimbursed by the insurer or grantor:

(a) are considered to have been paid by the owner or operator toward satisfaction of the 50% share requirements of subsection (4)(a)(ii) or (4)(b)(ii) if the owner or operator receives the payment or reimbursement before applying for reimbursement from the ~~board~~ department;

(b) are not reimbursable from the fund unless the grantor is designated by the owner or operator as an agent to receive the reimbursement for eligible costs incurred by the grantor; and

(c) except for the amount considered to have been paid by the owner or operator pursuant to subsection (5)(a), are considered to have been reimbursed from the fund for purposes of determining when the ~~board~~ department has paid the maximum amount payable from the fund under subsection (4)(a)(ii) or (4)(b)(ii).

(6) If the ending monthly balance of the fund is less than \$1.5 million, excluding a reimbursement for a cost associated with an emergency response, a reimbursement may not be made and the fund and the

1 ~~board-department~~ are not liable for making any reimbursement for the costs at that time. When the ending
2 monthly balance of the fund contains more than \$1.5 million, eligible costs must be reimbursed subsequently in
3 the order in which they were approved by the ~~board-department~~."

4
5 **Section 4.** Section 75-11-308, MCA, is amended to read:

6 **"75-11-308. Eligibility.** (1) An owner or operator is eligible for reimbursement for the applicable
7 percentage as provided in 75-11-307(4)(a) and (4)(b) of eligible costs caused by a release from a petroleum
8 storage tank only if:

9 (a) the release was discovered on or after April 13, 1989;

10 (b) the release occurred from:

11 (i) an underground storage tank, as defined in 75-11-503, that was in compliance with 75-11-509
12 at the time that the release was discovered;

13 (ii) a petroleum storage tank, as defined in 75-11-302, that was in compliance with the applicable
14 state and federal laws and rules that the ~~board-department~~ determines pertain to the prevention and mitigation
15 of a petroleum release from a petroleum storage tank at the time that the release was discovered; or

16 (iii) an underground storage tank, as defined in 75-11-503, that the ~~board-department~~ determines
17 was unknown to both the property owner and the department prior to its discovery if the owner applies to the
18 department for a closure permit in accordance with 75-11-212 within 30 days of the date upon which the owner
19 first had knowledge of the tank and closes the tank in accordance with the requirements of the permit before
20 the permit expires; and

21 (c) the release was an accidental release.

22 (2) An owner or operator is not eligible for reimbursement from the petroleum tank release cleanup
23 fund for expenses caused by releases from the following petroleum storage tanks:

24 (a) a tank located at a refinery or a terminal of a refiner;

25 (b) a tank located at an oil and gas production facility;

26 (c) a tank that is or was previously under the ownership or control of a railroad, except for a tank
27 that was operated by a lessee of a railroad in the course of nonrailroad operations;

28 (d) a tank belonging to the federal government;

1 (e) a tank owned or operated by a person who has been convicted of a substantial violation of
2 state or federal law or rule that relates to the installation, operation, or management of petroleum storage tanks;
3 or

4 (f) a mobile storage tank used to transport petroleum or petroleum products from one location to
5 another."
6

7 **Section 5.** Section 75-11-309, MCA, is amended to read:

8 **"75-11-309. Procedures for reimbursement of eligible costs -- corrective action plans.** (1) An
9 owner or operator seeking reimbursement for eligible costs and the department shall comply with the following
10 procedures:

11 (a) If an owner or operator discovers or is provided evidence that a release may have occurred
12 from the owner's or operator's petroleum storage tank, the owner or operator shall immediately notify the
13 department of the release and conduct an initial response to the release in accordance with state and federal
14 laws and rules to protect the public health and safety and the environment.

15 (b) Except for a tank for which a permit is sought under 75-11-308(1)(b)(iii) and that is closed
16 within 120 days of discovery of the release, following discovery of the release, the petroleum storage tank must
17 remain in compliance with applicable state and federal laws and rules that the ~~board~~ department determines
18 pertain to prevention and mitigation of petroleum releases.

19 (c) The owner or operator shall conduct a thorough investigation of the release and, subject to
20 subsection (1)(d), report the findings to the department, and, as determined necessary by the department,
21 prepare and submit for approval by the department a corrective action plan that conforms with state, tribal
22 (when applicable), and federal corrective action requirements.

23 (d) For a release in which the costs are expected to exceed \$100,000, an owner or operator, a
24 representative of the owner or operator, and a representative of the department, ~~the board, and board staff~~
25 shall meet to discuss the response to the release. For a release in which the costs are expected to be less than
26 \$100,000, an owner or operator, a representative of the owner or operator, and a representative of the
27 ~~department, the board, and board staff~~ may meet to discuss the response to the release if any party requests a
28 meeting.

1 (e) (i) The department shall review the corrective action plan and forward a copy to a local
2 government office, ~~the board~~, and, when applicable, a tribal government office with jurisdiction over a corrective
3 action for the release. The local or tribal government office ~~and the board~~ shall inform the department if it wants
4 any modification of the proposed plan.

5 (ii) Based on its own review and comments received from a local government, a tribal government,
6 ~~the board~~, or other source, the department, subject to 75-11-408(4)(b), may approve the proposed corrective
7 action plan, make or request the owner or operator to modify the proposed plan, or prepare its own plan for
8 compliance by the owner or operator. A plan finally approved by the department through any process provided
9 in this subsection (1)(d) is the approved corrective action plan.

10 (iii) After the department approves a corrective action plan, a local government, or a tribal
11 government, ~~or the board~~ may not impose different corrective action requirements on the owner or operator.

12 (f) A corrective action plan prepared by the owner, operator, or department for any petroleum
13 storage tank release may include the establishment of a petroleum mixing zone as defined in 75-11-503.

14 (g) The department shall notify the owner or operator of its approval of a corrective action plan ~~and~~
15 ~~shall promptly submit a copy of the approved corrective action plan to the board.~~

16 (h) The owner or operator shall implement the corrective action plan or plans approved by the
17 department until the release is resolved. The department may oversee the implementation of the plan, require
18 reports and monitoring from the owner or operator, undertake inspections, and otherwise exercise its authority
19 concerning corrective action under Title 75, chapter 10, part 7, Title 75, chapter 11, part 5, and other applicable
20 law and rules.

21 (i) (i) The owner or operator shall document in the manner required by the ~~board~~ department all
22 expenses incurred in preparing and implementing the corrective action plan. The owner or operator shall submit
23 claims and substantiating documents to the ~~board~~ department in the form and manner required by the ~~board~~
24 department.

25 (ii) The ~~board~~ department shall review each claim and determine if the claims are actual,
26 reasonable, and necessary costs of responding to the release and implementing the corrective action plan.

27 (iii) If the ~~board~~ department requires additional information to determine if a claimed cost is actual,
28 reasonable, and necessary, the ~~board~~ department may request comment from ~~the department and~~ the owner or

1 operator.

2 (iv) — If the department determines that an owner or operator is failing to properly implement a
3 corrective action plan, it shall notify the board.

4 (j) The owner or operator shall document, in the manner required by the ~~board~~ department, any
5 payments to a third party for bodily injury or property damage caused by a release. The owner or operator shall
6 submit claims and substantiating documents to the ~~board~~ department in the form and manner required by the
7 ~~board~~ department.

8 (k) In addition to the documentation in subsections (1)(i) and (1)(j), when the release is claimed to
9 have originated from a properly designed and installed double-walled tank system, the owner or operator shall
10 document, in the manner required by the ~~board~~ department, the following:

11 (i) the date that the release was discovered; and

12 (ii) that the originating tank was part of a properly designed and installed double-walled tank
13 system.

14 (2) If an owner or operator is issued an administrative order for failure to comply with requirements
15 imposed by or pursuant to Title 75, chapter 11, part 5, or rules adopted pursuant to Title 75, chapter 11, part 5,
16 all reimbursement of claims submitted after the date of the order must be suspended. Upon a written
17 determination by the department that the owner or operator has returned to compliance with the requirements
18 of Title 75, chapter 11, part 5, or rules adopted pursuant to Title 75, chapter 11, part 5, suspended and future
19 claims may be reimbursed according to criteria established by the ~~board~~ department. In establishing the criteria,
20 the ~~board~~ department shall consider the effect and duration of the noncompliance.

21 (3) The ~~board~~ department shall review each claim received under subsections (1)(i) and (1)(j),
22 make the determination required by this subsection, inform the owner or operator of its determination, and, as
23 appropriate, reimburse the owner or operator from the fund. Before approving a reimbursement, the ~~board~~
24 department shall affirmatively determine that:

25 (a) the expenses for which reimbursement is claimed:

26 (i) are eligible costs; and

27 (ii) were actually, necessarily, and reasonably incurred for the preparation or implementation of a
28 corrective action plan approved by the department or for payments to a third party for bodily injury or property

1 damage; and

2 (b) the owner or operator:

3 (i) is eligible for reimbursement under 75-11-308; and

4 (ii) has complied with this section and any rules adopted pursuant to this section. Upon a
5 determination by the ~~board~~department that the owner or operator has not complied with this section or rules
6 adopted pursuant to this section, all reimbursement of pending and future claims must be suspended. Upon a
7 determination by the ~~board~~department that the owner or operator has returned to compliance with this section
8 or rules adopted pursuant to this section, suspended and future claims may be reimbursed according to criteria
9 established by the ~~board~~department. In establishing the criteria, the ~~board~~department shall consider the effect
10 and duration of the noncompliance.

11 (4) (a) If an owner or operator disagrees with a ~~board~~department determination under subsection
12 (3), the owner or operator may submit a written request for a hearing before the ~~board~~department.

13 (b) A written request for a hearing must be received by the ~~board~~department within 120 days after
14 notice of the ~~board's~~department's determination is served on the owner or operator by certified mail. The notice
15 of determination must advise the owner or operator of the 120-day time limit for submitting a written request for
16 a hearing to the ~~board~~department. Not less than 50 days or more than 60 days after the ~~board~~department
17 serves the notice of determination, the ~~board~~department shall serve on the owner or operator a second notice
18 by certified mail advising the owner or operator of the deadline for requesting a hearing. Service by certified
19 mail is complete on the date shown on the certified mail receipt.

20 (c) If a written request is received within 120 days, the hearing must be held ~~at a meeting of the~~
21 ~~board or as otherwise as~~ permitted under the Montana Administrative Procedure Act no later than 120 days
22 following receipt of the request or at a time mutually agreed to by the ~~board~~department and the owner or
23 operator.

24 (d) If a written request is not received within 120 days, the determination of the ~~board~~department
25 is final.

26 (5) The ~~board~~department shall obligate money for reimbursement of eligible costs of owners and
27 operators in the order that the costs are finally approved by the ~~board~~department.

28 (6) (a) The ~~board~~department may, at the request of an owner or operator, guarantee in writing the

1 reimbursement of eligible costs that have been approved by the ~~board~~department but for which money is not
2 currently available from the fund for reimbursement.

3 (b) The ~~board~~department may, at the request of an owner or operator, guarantee in writing
4 reimbursement of eligible costs not yet approved by the ~~board~~department, including estimated costs not yet
5 incurred. A guarantee for payment under this subsection (6)(b) does not affect the order in which money in the
6 fund is obligated under subsection (5).

7 (c) When considering a request for a guarantee of payment, the ~~board~~department may require
8 pertinent information or documentation from the owner or operator. The ~~board~~department may grant or deny, in
9 whole or in part, any request for a guarantee."
10

11 **Section 6.** Section 75-11-312, MCA, is amended to read:

12 **"75-11-312. Review of corrective action plans and claims.** (1) To ensure that the fund provided for
13 in 75-11-313 is being used in the most efficient manner, the ~~board~~department shall implement a program of
14 third-party review for corrective action plans and claims. The ~~board~~department may submit a corrective action
15 plan or claim for review by a qualified third party of the ~~board's~~department's choosing.

16 (2) If a third-party review suggests that a corrective action plan is inappropriate for the release, the
17 ~~board~~department may ~~remand the plan to the department for further review~~ the plan further.

18 (3) If a third-party review suggests that submitted costs do not comply with the requirements of 75-
19 11-309(3)(a), the ~~board~~department may deny the costs, subject to 75-11-309(4)."
20

21 **Section 7.** Section 75-11-313, MCA, is amended to read:

22 **"75-11-313. Petroleum tank release cleanup fund.** (1) There is a petroleum tank release cleanup
23 fund in the state special revenue fund established in 17-2-102. The fund is administered as a revolving fund by
24 the ~~board~~department and is statutorily appropriated, as provided in 17-7-502, for the purposes provided for
25 under subsections (3)(c) and (3)(d). Administrative costs under subsections (3)(a) and (3)(b) must be paid
26 pursuant to a legislative appropriation.

27 (2) There is deposited in the fund:

28 (a) all revenue from the petroleum storage tank cleanup fee as provided in 75-11-314;

(b) money received by the ~~board~~department in the form of gifts, grants, reimbursements, or appropriations, from any source, intended to be used for the purposes of this fund;

(c) money appropriated or advanced to the fund by the legislature;

(d) money loaned to the ~~board~~department by the board of investments; and

(e) all interest earned on money in the fund.

(3) As provided in 75-11-318, the fund may be used only:

(a) to administer this part, including payment of ~~board~~department expenses associated with administration;

(b) to pay the actual and necessary department expenses associated with administration;

(c) to reimburse owners and operators for eligible costs caused by a release from a petroleum storage tank and approved by the ~~board~~department; and

(d) for repayment of any advance and any loan made pursuant to 17-6-225, plus interest earned on the advance or loan.

(4) Whenever the ~~board~~department accepts a loan from the board of investments pursuant to 17-6-225, the receipts from the fees provided for in 75-11-314 in each fiscal year until the loan is repaid are pledged and dedicated for the repayment of the loan in an amount sufficient to meet the repayment obligation for that fiscal year."

Section 8. Section 75-11-314, MCA, is amended to read:

"75-11-314. Petroleum storage tank cleanup fee -- collection -- penalties -- warrant for distraint -- statute of limitations. (1) Except as provided in subsection (4), each distributor shall pay to the department of transportation a petroleum storage tank cleanup fee for each gallon of gasoline, aviation gasoline, special fuel, or heating oil distributed by the distributor within the state and upon which the fee has not been paid by any other distributor. The fee must equal:

(a) 0.75 cent for each gallon of gasoline;

(b) 0.75 cent for each gallon of aviation gasoline;

(c) 0.75 cent for each gallon of special fuel; or

(d) 0.75 cent for each gallon of heating oil.

(2) Gasoline, aviation gasoline, special fuel, and heating oil exported or sold for export out of the state must be included in the measure of a distributor's fee.

(3) Ethanol that is blended with gasoline to be sold as ethanol-blended gasoline is subject to the fee provided in subsection (1).

(4) A fee may not be imposed or collected beginning on the first day of the first month in the first calendar quarter after the unobligated balance in the fund equals or exceeds \$10 million. Whenever the unobligated fund balance, less claims anticipated for ~~board~~department approval within the next 90 days, is less than \$6 million, the department of transportation shall, within 30 days, notify distributors by mail that the fee is reinstated beginning on the first day of the first month that begins no less than 30 days after the date of the notice. Once reinstated, the fee must be imposed and collected until the unobligated fund balance again equals or exceeds \$10 million.

(5) The department of transportation shall collect the fee in the same manner as the gasoline tax and special fuel tax under Title 15, chapter 70, part 4. The provisions of 15-70-103, 15-70-111, 15-70-402, 15-70-410, 15-70-411, 15-70-416 through 15-70-418, 15-70-420, 15-70-421, 15-70-425(3), and 15-70-443 apply to the fee. The provisions of 15-70-403, 15-70-412, 15-70-425(1), and 15-70-426 do not apply to the fee."

Section 9. Section 75-11-315, MCA, is amended to read:

"75-11-315. Nonimpairment by state. In accordance with the constitutions of the United States and the state of Montana, the state pledges that it may not in any way impair the obligations of any loan agreement between the ~~board~~department and the board of investments by repealing the petroleum storage tank cleanup fee imposed by 75-11-314 or by reducing it below the amount necessary to make annual loan payments."

Section 10. Section 75-11-318, MCA, is amended to read:

"75-11-318. Powers and duties of ~~board~~department. (1) The ~~board~~department shall administer the petroleum tank release cleanup fund in accordance with the provisions of this part, including the payment of reimbursement to owners and operators. ~~The board may hire its own staff to assist in the implementation of this part.~~

(2) The ~~board~~department shall determine whether to approve reimbursement of eligible costs

1 under the provisions of 75-11-309(3), shall obligate money from the fund for approved costs, and shall act on
2 requests for the guarantee of payments through the procedures and criteria provided in 75-11-309.

3 (3) The ~~board~~ department may conduct meetings, hold hearings, undertake legal action, and
4 conduct other business that may be necessary to administer its responsibilities under this part. The ~~board~~
5 department shall meet at least quarterly for the purpose of reviewing and approving claims for reimbursement
6 from the fund and conducting other business as necessary.

7 (4) The ~~board~~ department shall use the fund to pay for:

8 (a) ~~department expenses incurred in providing assistance to the board. The board shall review and~~
9 ~~comment on all department administrative budget proposals that are assessed against the fund prior to~~
10 ~~submittal of the department budget for legislative approval. Department administrative expenses on behalf of~~
11 ~~the board may include:~~

12 (i) the review or preparation of corrective action plans; and

13 (ii) the oversight of corrective action undertaken by owners and operators for the purposes of this
14 part; and

15 (iii) ~~the actual and necessary administrative support provided to the board.~~

16 (b) department of transportation staff expenses used for the collection of the petroleum storage
17 tank cleanup fee; and

18 (c) third-party review of corrective action plans or claims pursuant to 75-11-312; and

19 (d) ~~board staff expenses; and~~

20 (e) ~~expenses of implementing the board's duties as provided in this part.~~

21 (5) The ~~board~~ department shall adopt rules to administer this part, including:

22 (a) rules governing submission of claims by owners or operators to the department ~~and board;~~

23 (b) procedures for determining owners or operators who are eligible for reimbursement and
24 determining the validity of claims;

25 (c) procedures for the review and approval of corrective action plans;

26 (d) ~~procedures for conducting board meetings, hearings, and other business necessary for the~~
27 ~~implementation of this part;~~

28 (e)(d) the criteria and reimbursement rates applicable to those owners and operators who comply

1 with a violation letter issued by the department;

2 (f)(e) procedures for third-party review of corrective action plans or claims pursuant to 75-11-312;

3 and

4 (g)(f) other rules necessary for the administration of this part.

5 (6) ~~The board may apply for, accept, and repay loans from the board of investments pursuant to~~
6 ~~17-6-225.~~

7 (7)(6) ~~The board~~ department shall conduct an analysis of the short-term and long-term viability of the
8 fund and report its findings to the director of the department and the legislative auditor by July 1 prior to each
9 regular legislative session. This analysis must include but is not limited to:

10 (a) trends in fund revenue and expenditure activity;

11 (b) exposure to long-term liabilities;

12 (c) impacts of changes in state and federal regulations relating to underground and aboveground
13 storage tanks;

14 (d) availability of petroleum storage tank liability insurance in the private sector and trends in
15 provisions of the insurance; and

16 (e) the continuing need for collection of all or part of the petroleum tank release cleanup fee."
17

18 **Section 11.** Section 75-11-320, MCA, is amended to read:

19 **"75-11-320. Other authorities unaffected.** Payment of reimbursement, approval of a corrective
20 action plan, or other action of the department ~~or the board~~ under this part does not affect the authority of the
21 department or any other state agency to pursue an action authorized by Title 75, chapter 10, parts 4 or 7, or
22 any other law or rule that applies to releases from petroleum storage tanks."
23

24 **Section 12.** Section 75-11-407, MCA, is amended to read:

25 **"75-11-407. Viability.** (1) For the purpose of determining the viability of a responsible party, the
26 department shall presume that:

27 (a) ongoing businesses or companies and government entities are viable unless there is

28 information suggesting that the presumption is not appropriate and the department determines the information

1 is sufficient to rebut the presumption in a particular case; and

2 (b) individuals and defunct or insolvent companies are not viable unless there is information
3 suggesting that the presumption is not appropriate and the department determines the information is sufficient
4 to rebut the presumption in a particular case.

5 (2) The department may not determine that a responsible party is viable based solely on the fact
6 that the owner or operator of the petroleum tank release site is eligible to be reimbursed by the petroleum tank
7 release compensation board established in 2-15-2108 from the petroleum tank release cleanup fund
8 established in 75-11-313.

9 (3) It is a grant recipient's responsibility to provide the department with sufficient financial
10 information about a responsible party identified in a petroleum brownfields site eligibility application to
11 determine whether the responsible party is a viable responsible party."

12

13 **Section 13.** Section 75-11-408, MCA, is amended to read:

14 **"75-11-408. Brownfields site eligibility at petroleum tank release sites -- determinations and**
15 **limitations.** (1) Before a grant recipient may expend federal brownfields funds at a petroleum tank release site,
16 either the United States environmental protection agency or the department shall make a written determination
17 that:

18 (a) there is no viable responsible party for the petroleum tank release site;

19 (b) the petroleum tank release site will not be assessed, investigated, or cleaned up by a
20 potentially liable person; and

21 (c) the petroleum tank release site is not subject to an order under section 9003(h) of the federal
22 Solid Waste Disposal Act, 42 U.S.C. 6991b(h), or Title 75, chapter 11.

23 (2) After the department or the United States environmental protection agency determines that a
24 petroleum tank release site is eligible for federal brownfields funding, the department shall encourage and may
25 not limit the use of a grant recipient's federal petroleum brownfields funding at the site even if the site owner or
26 operator, as defined in 75-11-302, is eligible for funding from the petroleum tank release cleanup fund
27 established in 75-11-313.

28 (3) The department may not limit the use of money from the petroleum tank release cleanup fund

1 established in 75-11-313 when used as a commitment to a federal brownfields loan made by a grant recipient
2 for remediation at a petroleum tank release site.

3 (4) (a) Except as provided in subsection (4)(b), a determination made by the department or the
4 United States environmental protection agency that a petroleum tank release site is eligible for federal
5 brownfields funding does not limit or alter the owner's or operator's responsibility to assess or remediate the
6 petroleum tank release site in accordance with Title 75, chapter 11.

7 (b) If the department determines that a grant recipient has proposed to conduct a timely and
8 comprehensive remediation using federal brownfields funding at a petroleum tank release site that has been
9 determined by the department or the United States environmental protection agency to be eligible for petroleum
10 brownfields funding and the proposed remediation plan is expected to meet or exceed remediation standards
11 required by the department and financial commitments required by the petroleum tank release compensation
12 board pursuant to Title 75, chapter 11, the department shall approve the comprehensive remediation plan and
13 allow for the use of federal brownfields funding at the petroleum tank release site."
14

15 NEW SECTION. Section 14. Repealer. The following section of the Montana Code Annotated is
16 repealed:

17 2-15-2108. Petroleum tank release compensation board.

18 - END -